

The trick, if there is such a thing, should already be clear to you if you paid attention earlier about how the position sizing works for this type of strategy. We don't care about notional exposure; we size positions according to volatility. If a market normally moves only 0.1% in a regular trading day and another market usually has daily moves of 3% up or down per day, then clearly you need to allocate more to the former. If you don't, the portfolio would be entirely driven by the volatile markets.

If you work in finance, or studied finance at university, there should be no doubt which sector is the least volatile and which sector is clearly responsible for our seemingly ridiculously high exposure. Yes, it's the rates sector, and more specifically the shorter-term side of that sector.

Table 5.4 shows you the positions which we had on for this particular day, along with some details. You can see which exact contract we had and which sector it belongs to. You can also see the exposure in USD along with this value divided by the total portfolio value, which gives us the exposure in percent. The USD exposure amount is calculated by multiplying the number of contracts held by the most current price, multiplied by the point value for the corresponding market, and in case of foreign markets, adjusted to USD.

TABLE 5.4 Portfolio composition, 21 May 2009		Exposure	Exposure
Contract	Sector	US\$	(%)
Live Cattle June 2009	Agriculture	−429,130	−4.3
White Sugar August 2009	Agriculture	808,080	8.1
Lean Hogs June 2009	Agriculture	−260,900	−2.6
Robusta Coffee 10 Tonne July 2009	Agriculture	−215,460	−2.2
Soybean Meal July 2009	Agriculture	606,720	6.1
Soybean July 2009	Agriculture	587,500	5.9
Frozen Concentrated Orange Juice Grade A July 2009	Agriculture	513,570	5.1
Cotton No. 2 July 2009	Agriculture	482,630	4.8
Sugar No. 11 July 2009	Agriculture	507,338	5.1
Soybean Oil July 2009	Agriculture	478,548	4.8
Canola July 2009	Agriculture	879,152	8.8
Coffee C July 2009	Agriculture	611,100	6.1
Feeder Cattle August 2009	Agriculture	864,238	8.6
Japanese Yen June 2009	Currencies	−795,750	−8.0
Australian Dollar June 2009	Currencies	696,600	7.0

(Continued)